

Charlotte Office Market

SouthPark Submarket Report - Q1 2026

Prepared by Charlotte Commercial Research

SUBMARKET OVERVIEW

Total Inventory: 8,200,000 SF

Number of Buildings	42	Class A through C
Average Building Age	18 years	Mix of 1990s-2010s vintage

VACANCY & OCCUPANCY

Overall Vacancy Rate	14.8%	Down from 16.2% a year ago
Class A Vacancy	12.2%	Limited new supply keeping Class A tight
Class B/B+ Vacancy	17.5%	Elevated due to several large blocks returning to market
Class C Vacancy	22.1%	Struggling with flight to quality

Direct Vacancy: 13.5%

Sublease Vacancy	1.3%	Limited sublease overhang
------------------	------	---------------------------

ASKING RENTS (NNN)

Class A	\$28.50/SF	Premium product, recently renovated
Class B+ - Renovated	\$24.00 - \$27.00/SF	Post-renovation product commands significant premium
Class B+ - Unrenovated	\$18.00 - \$21.00/SF	Older product with deferred maintenance
Class B	\$15.00 - \$18.00/SF	Commodity space
Class C	\$12.00 - \$15.00/SF	Functional obsolescence risk

Weighted Average (All Classes): \$21.50/SF

ABSORPTION & DEMAND

Net Absorption (TTM)	185,000 SF	Positive for 6 consecutive quarters
Gross Absorption (TTM)	420,000 SF	Healthy leasing velocity
Avg Deal Size (TTM)	5,800 SF	Small/medium deals dominate. No large-block transactions >30,000 SF except one build-to-suit in Ballantyne.

Net Absorption (TTM)	185,000 SF	Positive for 6 consecutive quarters
Key Demand Drivers	Financial services, professional services, healthcare admin	SouthPark benefits from proximity to residential affluence

CONSTRUCTION PIPELINE

Under Construction	320,000 SF	1 project only
Project	4700 Sharon Road	Class A, 320,000 SF, delivery Q3 2027

Under Construction	320,000 SF	1 project only
Developer	Lincoln Harris	Pre-leased: 35% as of Q1 2026
Impact on Subject	Moderate	Competes at Class A rent levels (\$28+). Subject's B+ positioning is a different segment, but the new supply could slow absorption of larger blocks.
Planned Pipeline	None	No other office projects in planning or entitlement in SouthPark

RENT GROWTH TRENDS

12-Month Rent Growth (Class B+): 2.8%

5-Year Avg Rent Growth	2.4%	Pre-COVID through current
------------------------	------	---------------------------

COVID Impact: Rents declined ~8% from peak in 2020-2021, fully recovered by Q2 2024

Forecast	2.5-3.0% annual growth expected	Supported by limited supply and steady demand
-----------------	--	--

NOTABLE TRANSACTIONS (LAST 12 MONTHS)

Meridian Financial BTS	80,000 SF build-to-suit in Ballantyne, \$28.50/SF NNN	Largest office transaction in greater SouthPark/South Charlotte in 2+ years. Relocated from SouthPark submarket.
Waverly Tech	8,200 SF at 5800 Morrison Blvd, \$27.00/SF NNN	Largest non-BTS lease in submarket. 10-year term.
Overall Trend	Small/medium deals (3,000-8,000 SF) driving absorption	No large-block leasing activity. Buildings with blocks >30,000 SF are struggling to lease in single transactions.